

Whatever your age, whatever your income, how much should you be worth right now? From years of surveying various high-income/ high-net worth people, we have developed several multivariate-based wealth equations. A simple rule of thumb, however, is more than adequate in computing one's expected net worth.

Multiply your age times your realized pretax annual household income from all sources except inheritances. Divide by ten. This, less any inherited wealth, is what your net worth should be.

For example, if Mr. Anthony O. Duncan is forty-one years old, makes \$143,000 a year, and has investments that return another \$12,000, he would multiply \$155,000 by forty-one. That equals \$6,355,000. Dividing by ten, his net worth should be \$635,500. If Ms. Lucy R. Frankel is sixty-one and has a total annual realized income of \$235,000, her net worth should be \$1,433,500.

Given your age and income, how does your net worth match up? Where do you stand along the wealth continuum? If you are in the top quartile for wealth accumulation, you are a PAW, or prodigious accumulator of wealth. If you are in the bottom quartile, you are a UAW, or under accumulator of wealth. Are you a PAW, a UAW, or just an AAW (average accumulator of wealth)?

We have developed another simple rule. To be well positioned in the PAW category, you should be worth twice the level of wealth expected. In other words, Mr. Duncan's net worth/wealth should be approximately twice the expected value or more for his income/age cohort, or \$635,500 multiplied by two equals \$1,271,000. If Mr. Duncan's net worth is approximately \$1.27 million or more, he is a prodigious accumulator of wealth. Conversely, what if his level of wealth is one-half or less than expected for all those in his income/age category? Mr. Duncan would be classified as a UAW if his level of wealth were \$317,750 or less (or one-half of \$635,500).

PAWs VERSUS UAWs